

NOTICE OF LODGMENT
AUSTRALIAN COMPETITION TRIBUNAL

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Lodgment and Details

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File Number:	ACT 1 of 2026
File Title:	APPLICATION BY COLES SUPERMARKETS AUSTRALIA PTY LTD
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Important information

This Notice has been inserted as the first page of the document which has been accepted for electronic filing. It is now taken to be part of that document for the purposes of the proceeding in the Tribunal and contains important information for all parties to that proceeding. It must be included in the document served on each of those parties.

COMMONWEALTH OF AUSTRALIA

Competition and Consumer Act 2010

Coles Supermarkets Australia Pty Limited Application for Review of Australian Competition and Consumer Commission Merger Authorisation Determination (MN-01068)

IN THE AUSTRALIAN COMPETITION TRIBUNAL

File No:

ACT 1 of 2026

Re:

Application for review of a determination made by the Australian Competition and Consumer Commissioner under subsection 51ABZE(1) of the *Competition and Consumer Act 2010*

Applicants:

Coles Supermarkets Australia Pty Limited

ACCC'S SUBMISSIONS IN RESPECT OF COLES' APPLICATION UNDER SECTION 100S(2)(B)

Introduction

1. Coles makes an application pursuant to s 100S(2)(b) of the *Competition and Consumer Act 2010* (Cth) (**CCA**) (**Application**) to provide the Tribunal with two pieces of further evidence comprising: (i) a further report from one of its economic experts, Dr Mike Walker, addressing what Coles describes as the operative theory of harm and its application in the circumstances of the Proposed Acquisition; and (ii) evidence from a Coles employee correcting alleged material errors in the ACCC's amendments to Coles' Capital Approval Request (**CAR**) Model (Coles Submissions (**CS**), [3] and [4]).
2. Section 100S forms part of the limited merits review scheme for acquisition determinations established by Divisions 1B and 2 of Part IX of the CCA, which provide for the Tribunal's review to be substantially confined to the materials referred to in the ACCC's reasons for the determination dated 30 June 2026 (**ACCC Reasons**) and before the ACCC when it made its determination on the same date (**Determination**), with only limited and specific supplementation in the manner described in s 100T. Coles' application, and the accompanying materials, do not establish that the criteria for the Tribunal to receive further evidence under s 100S are satisfied here.
3. The factual premise for the application to provide the Tribunal with a further report from Dr Mike Walker is that the Determination relied on a theory of harm to which Coles was not given an opportunity to respond. That premise is unsound. The ACCC's view that the Proposed Acquisition was likely to substantially lessen competition by leading to the exit of an effective independent competitor reflects a concern that the ACCC communicated to Coles in its decision to subject the Acquisition to Phase 2 Review (dated 29 January 2026) (**Phase 2 Notification**),¹ its Notice of Competition Concerns (dated 5 March 2026) (**NOCC**)² and in its many subsequent interactions with Coles.
4. Coles complains specifically about a lack of opportunity to respond to the expert opinion obtained by the ACCC from Professor Rey. During its Phase 2 investigation, the ACCC made available to Coles a report it had obtained from Professor Patrick Rey dated 14 May 2026 (**First Rey Report**).³ Coles provided two responsive reports from its expert

¹ Affidavit of Liza Carver sworn on 27 August 2026 (**Carver**), Exhibit LWC-1, Tab 2.

² Carver, Exhibit LWC-1, Tab 3.

³ Carver, Exhibit LWC-1, Tab 20.

economists, including one from Dr Walker dated 9 June 2026. The ACCC provided those reports to Professor Rey, and asked him whether they caused him to change his views. In a second report dated 25 June 2026 (**Second Rey Report**),⁴ Professor Rey confirmed that they did not. Coles' complaint is that Dr Walker should have then had an opportunity to provide a further report in response to the Second Rey Report. But Coles had already been given an opportunity to respond to Professor Rey, and there was no need in the circumstances for it to be given a further opportunity.

5. The second part of Coles' application concerns the ACCC's analysis of Coles' CAR Model. Coles identifies two matters to which it says it did not have an opportunity to respond: the ACCC's testing of the revenue sensitivity of the model, and various calculation issues identified by the ACCC (CS, [33]). As to the first, Coles and the ACCC in fact engaged in considerable correspondence during the ACCC's investigation. As to the second, to the extent that Coles wishes to point out "errors of logic" in the ACCC's analysis of its business case (CS, [34]), it is not apparent why this cannot be done through submissions, and why it is necessary for the Tribunal to receive additional evidence from Coles.

Section 100S(2) of the CCA and the statutory scheme in Part IVA of the CCA

The two matters to be established under s 100S(2)(b): relevance and reasonable opportunity

6. Section 100S(2)(b) of the CCA requires that the notifying party establish two matters. First, s 100S(2)(b)(i) requires that the proposed new information, documents or evidence are relevant to the grounds on which the ACCC made its determination. Second, s 100S(2)(b)(ii) requires the notifying party to establish that it was not given a "reasonable opportunity" to make submissions to the ACCC in relation to those grounds or the evidence or other material on which those grounds were based before the ACCC made the relevant determination. The Tribunal then has a discretion as to whether to allow the notifying party to provide any new information, documents or evidence. The Tribunal might not do so if, for example, it would not be assisted by such material, or the material, though relevant to the grounds on which the ACCC made its decision, is either no longer relevant or not sufficiently relevant to a matter in issue in the Tribunal's review.
7. Section 100S(2)(b) must be considered within its statutory context. Divisions 1B and 2 of Part IX of the CCA provide that the Tribunal's review of an acquisition determination by the ACCC is to be largely confined to material, including information, evidence and documents, that was before the ACCC when it made the determination, with only limited and specific supplementation.⁵ The Tribunal is not undertaking a re-hearing.⁶ The circumstances in which new material can be provided to and considered by the Tribunal are directed to addressing particular issues, such as ensuring that the Tribunal can take into account genuinely new information.⁷ The Explanatory Memorandum to the Bill states that the limitations on the Tribunal's review are intended to "appropriately balance the interests of all parties to the review" and "facilitate the Tribunal conducting its review expeditiously".⁸ In this context, it is appropriate that provisions permitting the Tribunal to

⁴ Carver, Exhibit LWC-1, Tab 30.

⁵ CCA at ss 100R(2) and (3), and s 100T.

⁶ CCA ss 100N, 100T and 102A(b); Explanatory Memorandum to the *Treasury Laws Amendment (Mergers and Acquisitions Reform) Bill 2024* (Cth) (**the Bill**) at [6.25].

⁷ Explanatory Memorandum to the Bill at [6.29].

⁸ Explanatory Memorandum to the Bill at [6.33].

have regard to information that was not before the ACCC be construed in accordance with their terms and without any presumption that they be applied liberally or broadly.

8. As to the first matter, whether the Tribunal can be satisfied of the relevance of the further material which is the subject of an application under s 100S(2) will depend on the specificity with which the material is described. While there is no requirement to include copies of the proposed documents or, in the case of evidence, expert reports or statements, where an application describes the relevant material in general terms, it may be more difficult for the Tribunal to be satisfied of its relevance, and the application may require the Tribunal to proceed on a “somewhat hypothetical basis”.⁹
9. As to the second matter, the meaning of the phrase “reasonable opportunity” falls to be considered in its specific statutory context, particularly the statutory processes for notification of acquisitions in Part IVA of the CCA, and for Tribunal review of acquisition determinations in Divisions 1B and 2 of Part IX of the CCA.¹⁰
10. What constitutes a reasonable opportunity to make submissions must be considered within the context of the process by which the ACCC considers a notified acquisition pursuant to Part IVA of the CCA and, in particular, Divisions 4 and 6 of that Part. The following are relevant features of that process.
 - (i) First, where a notified acquisition proceeds to a Phase 2 review, the statutory regime requires the ACCC to identify its concerns and give the notifying party an opportunity to respond to those concerns. The Phase 2 review notice must set out the ACCC’s theory of harm at a high level.¹¹ The NOCC must identify the ACCC’s *preliminary assessment* of whether the acquisition, if put into effect, would have the effect, or be likely to have the effect, of substantially lessening competition in any market, and the grounds for that assessment, referring to the evidence or other material on which those grounds are based.¹² The ACCC must give the notifying party a reasonable opportunity to make submissions in relation to the matters the subject of the NOCC.¹³
 - (ii) Second, the CCA contemplates that the ACCC may use its powers in s 155 of the CCA, undertake consultations, and seek further information and evidence after provision of the NOCC. This includes from the notifying party.¹⁴
 - (iii) Third, the ACCC’s consideration of a notified acquisition is subject to specific and expeditious statutory timeframes. Relevantly, its entire Phase 2 review process is to be completed within 90 business days subject only to the particular adjustments that the statute permits to be made to that time period,¹⁵ and key steps within that process, such as the period for issuing and receiving submissions in response to the

⁹ *Applications by Telstra Corporation Ltd and TPG Telecom Ltd* [2023] ACompT 1 at [103] (O’Byrne J, Dr J Walker, Ms D Eilert).

¹⁰ *Kioa v West* (1985) 159 CLR 550 at 614 (Brennan J); *SZBEL v Minister for Immigration and Multicultural and Indigenous Affairs* (2006) 228 CLR 152 at [26] (the Court).

¹¹ CCA at ss 51ABZJ(1), (2) and (3)(b).

¹² CCA at ss 51ABZK(1), (3) and (4).

¹³ CCA at ss 51ABZL(1).

¹⁴ CCA at ss 51ABZZD and 51ABZZE(2)(c); Explanatory Memorandum to the Bill at [4.85].

¹⁵ CCA at ss 51ABZI(2), (3)(b) and (5).

NOCC, are subject to further specific timeframes,¹⁶ which may only be extended in certain limited cases.¹⁷

- (iv) Fourth, in support of those timeframes, the statute prohibits the ACCC from taking into account certain submissions received outside of those timeframes subject to limited exceptions,¹⁸ and permits it not to take into account certain other submissions received outside of those timeframes.¹⁹
 - (v) Fifth, the prescriptive process established by Part IVA does not confer on the notifying party any right to receive, let alone respond to, all information that the ACCC received during its consideration of the notified acquisition. In this sense, Part IVA does not establish an “open book” review process, which reflects both the expeditious nature of the statutory timeframes governing that process, and other practical features of the ACCC’s process (such as the fact that the ACCC’s ability to provide the notifying party with confidential information supplied to the ACCC by third parties is necessarily limited by reference to whether the providing party consents to the disclosure of that information to the notifying party). These limitations ensure that the ACCC has sufficient time to assess, consider and take into account the submissions ahead of making its determination.²⁰
11. The inquiry into whether a reasonable opportunity was given is fact specific. That said, an overarching consideration is that the deliberate use of “reasonable opportunity” indicates the ACCC is not required to provide an “ideal opportunity” to make submissions to the notifying party.²¹ It may be useful to ask whether the opportunity of the notifying party to propound its case for a favourable exercise of the power was so constrained as to amount to a practical injustice.²²
12. Other administrative law considerations, developed in a procedural fairness context, provide some guidance by analogy, though these principles must be considered against the statutory language and context as identified above. While a decision-maker is generally required to identify any issue critical to the decision or adverse to the notifying party which is not apparent from its nature or the terms of the decision under which it is made,²³ the decision-maker does not have to do so where it was an obvious and natural evaluation of the existing material.²⁴ Further, disclosing the substance or essential features of the relevant information may be sufficient.²⁵ This can be the case where material is commercially sensitive and provided by a third party, with such a scenario being specifically contemplated as potentially being enough by [6.31] of the Explanatory

¹⁶ CCA at ss 51ABZK(4) and 51ABZL(1)(a)(ii).

¹⁷ See for example, CCA at ss 51ABZL(2) and (3).

¹⁸ CCA at ss 51ABZL(1)(b) and 51ABZZD(5). As to exceptions, for example, the ACCC is prevented from taking into account certain information and submissions within a period of 15 business days before it must make its determination (the ‘Black-out period’) unless certain conditions are met, such as that the request relates to information received by the ACCC before the Black-out period: CCA at ss 51ABZZD(2), (3) and (5).

¹⁹ CCA at ss 51ABZZD(4)(b) and (c).

²⁰ Explanatory Memorandum to the Bill at [4.84] and [7.32]

²¹ *Yoong v The Chief Executive of Medicare* (2021) 177 ALD 48 at [122] (Rangiah J).

²² *Minister for Immigration and Border Protection v SZSSJ* (2016) 259 CLR 180 at [82] (the Court).

²³ *Commissioner for Australian Capital Territory Revenue v Alphaone Pty Ltd* (1994) 49 FCR 576 (**Alphaone**) at 592 (the Court).

²⁴ *Minister for Immigration and Citizenship v SZGUR* (2011) 241 CLR 594 at [9] (French CJ and Kiefel J).

²⁵ *Applicant VEAL of 2002 v Minister for Immigration and Multicultural and Indigenous Affairs* (2005) 225 CLR 88 at [29] (the Court).

Memorandum to the Bill. A decision-maker is not otherwise required to disclose his or her internal mental processes before reaching a final decision.²⁶

Submissions on particular orders sought by Coles

13. Coles' submissions, and the ACCC's submissions below, make reference to a wide range of correspondence and other written materials. For the assistance of the Tribunal, the annexure to these submissions sets out a chronology of those documents, identifying where they are contained in the parties' evidence. That chronology reveals the steps taken by the ACCC to provide Coles with notice of, and the opportunity to make submissions on, a wide range of matters relevant to its investigation and Determination. They included not only the particular steps mandated by the statute (such as the Phase 2 Notification and the NOCC), but also further steps, such as providing Coles' legal representatives with the First Rey Report on 18 May 2026,²⁷ as well as with information obtained by the ACCC during its investigations following the release of the NOCC that was potentially material to the ACCC's assessment of the Proposed Acquisition (on 21 May 2026).²⁸

Application regarding further expert report by Dr Mike Walker

14. Coles seeks an order, relying on s 100S(2)(b), permitting it to provide to the Tribunal an expert report from Dr Mike Walker of Frontier Economics UK "which addresses, and responds to, the [Second Rey Report] and the [ACCC Reasons]" (Application, [3(a)]). Coles proposes that such a report would address (Carver, [68]):

(i) the extent to which the Second Rey Report addresses concerns raised by Dr Walker in his report of 9 June 2026 regarding the appropriateness of the Rey framework and modelling techniques employed by Professor Rey;

(ii) the extent to which the Second Rey Report's analysis appears to be reflected in the SOR [ACCC Reasons]; and

(iii) whether the theory of harm presented in the Second Rey Report is an appropriate basis for a competitive assessment of the Proposed Acquisition.

15. The ACCC submits that it is at best doubtful whether the proposed further report by Dr Walker would satisfy the threshold test of relevance in s 100S(2)(b)(i). Both Dr Walker and Mr Davis have already provided reports criticising the First Rey Report, to which Professor Rey has responded, including to observe that those reports did not cause him to vary or alter any of the views in his first report.²⁹ It is not correct that the ACCC "applied" the views of Professor Rey in the First Rey Report or otherwise (cf CS, [2], [10], [27(b)] and paragraph 20 below). Further, while Coles justifies its application to provide a second report of Dr Walker by reference to two particular statements in the Second Rey Report (CS, [21]), neither those statements nor any other particular aspects of the Second Rey Report were cited in the Determination. Even if the Tribunal considered that a further report from Dr Walker would satisfy the requisite standard of relevance, it may well be that in the circumstances described above, such a report would be of little practical assistance to the Tribunal, which would be relevant to the Tribunal's discretion.

²⁶ *Alphaone* at 590-591 (the Court).

²⁷ Carver, Exhibit LWC-1, Tab 17.

²⁸ Affidavit of Linda Evans sworn on 4 September 2026 (**Evans**), Exhibit LCE-1, Tab 2.

²⁹ Carver, Exhibit LWC-1, Tab 30, p 3.

16. As to the question of “reasonable opportunity” under s 100S(2)(b)(ii), Coles’ position depends on two related propositions. First, that the ACCC notified Coles that it was considering a single theory of harm “of oversupply and predation or profit sacrifice” (CS [2], [8]) but instead reached its Determination on the basis of “an alternative” theory of harm entailing an assessment of net consumer welfare and not depending on “predation” (CS, [2], [10]). Second, that the ACCC did not provide Coles with a reasonable opportunity to make submissions in relation to that alternative theory of harm, or the evidence of Professor Rey (CS, [11], [13], [15], [18], [22]) or the ACCC’s “SKU Analysis” (CS, [12], [14], [15], [18], [23]) before the ACCC made its Determination.

The ACCC’s ‘Theory of Harm’

17. It is not correct that the ACCC’s Phase 2 Notification³⁰ and NOCC³¹ identified a single theory of harm “of oversupply and predation or profit sacrifice” (cf CS, [8]). Rather, the Phase 2 Notification described the bases for the ACCC’s satisfaction that the Proposed Acquisition could, in all the circumstances, have an effect or likely effect of SLC.³² In doing so, it specifically identified that the ACCC was considering whether the Proposed Acquisition could have the effect or likely effect of substantially lessening competition “through increased concentration and adverse impacts on competition, including the potential exit of independent supermarket competitors” (at [3.13] and similarly, [3.14]).
18. The Phase 2 Notification and NOCC described the wide range of matters relevant to these bases and the ACCC’s further investigations: market share, concentration, the competitive constraint from rival supermarkets (including having regard to their product range and differentials between the major and independent supermarkets’ product ranges), the possibility and competitive consequences of exit by a rival supermarket, the barriers to entry and the prospect of new entry, the economic rationale for the Proposed Acquisition (including in connection with the possible impact of the Proposed Acquisition on rival stores’ profitability: Phase 2 Notification, [3.16]), the profitability of Coles’ and rivals’ supermarkets, the structure of the supermarket industry, incentives for price competition, and consumers’ ability to assess pricing and related matters (Phase 2 Notification, [3.15], [3.16], Box 2, [3.18] – [3.20]; NOCC, [4.2] – [4.46]).
19. The NOCC did raise the question as to whether the Proposed Acquisition would be profitable for Coles absent the exit of a rival, but did not indicate that this was an essential aspect of any theory of harm (cf CS [2]). That matter was not mentioned in the articulation in the NOCC of the ACCC’s preliminary assessment of the effect or likely effect of the Proposed Acquisition (NOCC, [4.47] – [4.53]), which identified that the Acquisition “would have the effect or likely effect of substantially lessening competition as it leads to the exit of an effective independent competitor and increases Coles’ market power” (NOCC, [4.447]). Accordingly, both the Phase 2 Notification and the NOCC put Coles on notice about the ACCC’s concerns and the wide range of matters the ACCC considered relevant to its further investigations.
20. The ACCC had regard to the interests of consumers when making its Determination, as required by s 51ABZE(3)(b). However, it is not correct to say that the ACCC based its decision on an assessment of net consumer welfare, or that the ACCC “applied” the First

³⁰ Carver, Exhibit LWC-1, Tab 2.

³¹ Carver, Exhibit LWC-1, Tab 3.

³² Phase 2 Notification at [3.2], [3.13] and following (as to the first theory of harm) and [3.17] and following (as to the second theory of harm).

Rey Report (cf CS, [2], [10], [27(b)]).³³ In this respect, the ACCC refers to paragraphs [12] to [17] of its Concise Statement of Contentions dated 11 September 2026 (**ACCC Concise Statement**). The ACCC's decision was based upon an assessment of likely harm to the competitive process. During the course of its investigation, the ACCC explored and considered a wide range of matters that bore upon its assessment of the Proposed Acquisition. But whether Coles' business case assumed the exit of an existing competitor, or whether that was simply a consequence of diversion of business to the new Coles store, the resulting harm to the competitive process that the ACCC was concerned about remained the same throughout, namely the loss of an effective competitor from the Kalgoorlie market and the resulting increase in Coles' market power.

Coles' opportunity to make submissions

21. As to Coles' second proposition, the question as to whether Coles had a "reasonable opportunity" to make submissions in relation to the grounds on which the ACCC made its Determination is to be considered in the context of the statutory process under which the ACCC made its Determination, and the opportunities the ACCC in fact provided to Coles to make submission during that process.
22. As discussed above, Coles was on notice from the Phase 2 Notification and the NOCC that the ACCC was considering the possibility that the Proposed Acquisition might have or be likely to have the effect of substantially lessening competition on the basis that it might lead to the loss of an effective competitor (as addressed in paragraphs 17 to 20 above). Coles' response to the NOCC indicated that it understood that this was a concern of the ACCC. The executive summary to that response includes the sub-heading, 'The exit or reduction in effectiveness of an inefficient competitor does not amount to a substantial lessening of competition'.³⁴
23. Insofar as Coles' application complains about a lack of opportunity to respond to Professor Rey's reports, the following matters should be noted.
24. *First*, as addressed in paragraph 20 above, the ACCC did not "apply" the First Rey Report. The ACCC had regard to the principles Professor Rey described, including as to the relevance of consumer welfare to considering whether the consequences of a rival's exit might constitute an effect or likely effect of substantially lessening competition arising as a result of the Proposed Acquisition, rather than an outworking of a competitive process unharmed by that acquisition. The ACCC did not, however, confine its consideration to the effects of the Proposed Acquisition on net consumer welfare (ACCC's Concise Statement, [12]-[17]).
25. *Second*, the ACCC provided Coles with a copy of the First Rey Report on 18 May 2026, under cover of a letter which expressly invited Coles to make submissions on that report, and requested that Coles do so by 4 June 2026. The ACCC again invited submissions on the First Rey Report by letter dated 5 June 2026 (CS, [15]).³⁵
26. *Third*, the First Rey Report specifically identified that "the expansion & exit scenario" he had been asked to consider "need not exhibit the dynamic pattern of predatory behaviour" (at page 9, part C I 2; cf CS [21], [27(c)] and Carver [67]). Read in the context of Professor Rey's description of relevant economic principles (from page 1, Part B I), and application

³³ Carver, Exhibit LWC-1, Tabs 20 to 22.

³⁴ Carver, Exhibit LWC-1,

³⁵ Carver, Exhibit LWC-1, Tab 25.

of those principles (from page 3, Part B II), which specifically referred to that expansion and exit scenario, it is clear from that statement that Professor Rey considered that it was possible for an acquisition to lessen competition regardless of whether the acquisition entailed predatory behaviour (cf CS [21], [27(c)] and Carver, [67]).

27. *Fourth*, Coles took the opportunity to make submissions on the First Rey Report, including by submitting written submissions.³⁶ It also provided the expert reports by Dr Mike Walker³⁷ and Mr Warwick Davis³⁸ in response to that report (CS, [16], [17]). Coles' submission to the ACCC on 11 June 2026 acknowledged that Professor Rey's analysis did not rely upon a predatory investment analysis; it stated: [REDACTED]
28. *Fifth*, the Second Rey Report was sought by the ACCC by letter dated 17 June, specifically to respond to criticisms of the First Rey Report by Dr Walker and Mr Davis, and to ask whether anything in those reports caused Professor Rey to vary the views expressed in his first report.⁴⁰ Consistently with the ACCC's 17 June letter, the Second Rey Report adds little, if anything, to his first report on the relevance of predation to Professor Rey's analysis (cf CS, [21]).
29. Having regard to the above matters, and viewed in the context of the statutory process, Coles was given a reasonable opportunity to make submissions on the principles identified by Professor Rey, including as to any relevance or otherwise of a consumer welfare or predatory investment analysis, and on the key elements of the theory of harm that underpinned the Determination, before the ACCC made its Determination.
30. In relation to the SKU Analysis relied upon by the ACCC (CS [23] and [24]), the following matters should be noted.
31. *First*, the ACCC provided a summary of its observations on the SKU Analysis and invited Coles to provide submissions on 21 May 2026,⁴¹ and provided further analysis and sought further submissions on 1 June 2026. Coles availed itself of that opportunity.⁴²
32. *Second*, the ACCC identified to Coles' lawyers on 5 June 2026 that the SKU Analysis was relevant to its assessment of substitutability and closeness of competition, but was not directly related to Professor Rey's first report (CS, [15]).⁴³
33. *Third*, the ACCC disclosed the unredacted SKU Analysis to Coles' external counsel and experts, and also provided a redacted version of its methodology, but did not agree to the provision of an unredacted version of that analysis to Coles employees for the reason that one of the industry participants whose confidential information was used in that analysis did not consent to that disclosure, as advised to Coles on 5 June 2026.⁴⁴

³⁶ Evans, Exhibit LCE-1, Tab 17.

³⁷ Carver, Exhibit LWC-1, Tab 27.

³⁸ Evans, Exhibit LCE-1, Tab 18.

³⁹ Evans, Exhibit LCE-1, Tab 17, p 7.

⁴⁰ Carver, Exhibit LWC-1, Tab 31.

⁴¹ Carver, Exhibit LWC-1, Tab 23.

⁴² Carver, Exhibit LWC-1, Tab 24; Evans, Exhibit LCE-1, Tab 12.

⁴³ Evans, Exhibit LCE-1, Tab 15.

⁴⁴ Evans, Exhibit LC3-1, Tab 14.

34. In these circumstances, viewed in the context of the statutory process as a whole, the ACCC submits that Coles was given a reasonable opportunity to make submissions on the SKU Analysis before the ACCC made its Determination.

Application regarding further evidence concerning Coles' CAR Model

35. Coles seeks directions permitting Coles to provide evidence from one or more Coles employees with working knowledge of Coles' CAR model addressing certain worksheets prepared by the ACCC in respect of Coles' business case and errors and miscalculations said to have been identified by Coles in those worksheets (CS, [31]). Coles submits that the ACCC's finding of likely exit by O'Connor Fresh IGA in its Determination was based on the ACCC's testing of the revenue sensitivity of the model, and certain "adjustments" made by the ACCC to address "calculation issues" with the model, and that Coles did not have a reasonable opportunity to make submissions on that testing, or on the ACCC's adjustments to the model.
36. As to the ACCC's testing of the revenue sensitivity of the CAR Model, Coles and the ACCC engaged in considerable correspondence on these issues during the ACCC's investigation. In particular, Coles provided the CAR Model to the ACCC in February and March 2026,⁴⁵ and during further engagement between the ACCC and Coles in relation to that model,⁴⁶ the ACCC provided Coles with its proposed analysis of the profitability of the proposed Coles Kalgoorlie store,⁴⁷ and Coles provided an expert report from Mr Samuel of Sapere responding to that analysis.⁴⁸ Viewed in this context, Coles had a reasonable opportunity to make submissions on the revenue sensitivities of its business models, such that s 100S(2)(b)(ii) is not satisfied in relation to this aspect of its application.
37. As to the adjustments the ACCC made to the CAR Model, these adjustments are matters of detail. The SOR specifically identifies that the analysis produced by the adjusted CAR Model was not determinative (SOR, [C10]). Accordingly, that analysis, and the particular adjustments to the CAR Model, are not central to the ACCC's analysis of, or directly relevant to, the grounds on which the ACCC made its Determination. Coles says that these adjustments involve errors but has not explained why these errors, which are said to involve "matters of logic", cannot simply be dealt with through submissions in the ordinary course. If the Tribunal is nonetheless satisfied that it is appropriate for Coles to be permitted to provide further evidence on these matters, the relevant orders should be strictly confined to permit Coles to provide an affidavit which concisely and precisely identifies the relevant errors said to have been made by the ACCC. Such an approach would be consistent with the nature of the Tribunal's powers under s 100S(2), and the clear limits placed by Divisions 1B and 2 on the Tribunal's ability to receive material that was not before the ACCC.

16 September 2026

Declan Roche, Christopher Tran, Alice Muhlebach and Alexander Tate

Counsel for the ACCC

⁴⁵ Affidavit of Katrina Mary Close affirmed 16 September 2026 (**Close**), KMC-1, Tabs 1 to 4.

⁴⁶ Close, KMC-1, Tabs 5 and 6.

⁴⁷ Carver, Exhibit LWC-1, Tabs 6 to 8.

⁴⁸ Affidavit of Andrew Dhugal Christopher Eastwood sworn on 4 September 2026, ADCE-1, Tab 5.

ANNEXURE

Chronology of documents referred to in Coles' and the ACCC's submissions

In the following table, in the column headed "Topic":

- "Theory of harm" identifies that the relevant document is relied on by Coles and/or the ACCC in relation to the matters addressed in Coles' submissions at [6] to [30];
- "CAR Model" identifies that the relevant communication is relied on by Coles and/or the ACCC in relation to the matters addressed in Coles' submissions at [31] to [35]; and
- "SKU Analysis" identifies that the relevant document is relied on by Coles and/or the ACCC in relation to the matters addressed in Coles' submissions at [23], [24] and [28].

No.	Date	Description	Evidence ref.	Topic
1.	18/12/2025	ACCC letter to Coles identifying issues which it considered may warrant further investigation and requesting further information from Coles.	Tab 1, LWC-1	Theory of harm
2.	29/01/2026	ACCC decision that the Proposed Acquisition would be subject to Phase 2 review, pursuant to s 51ABZJ(1) of the CCA.	Tab 2, LWC-1	Theory of harm
3.	20/02/2026	Coles email to ACCC attaching redacted version of the CAR Model (including sensitivity analysis).	Tabs 1 and 2, KMC-1	CAR Model
4.	4/03/2026	Coles letter to ACCC, enclosing tranche 2 response to the s 155 notices dated 12/02/2026. NB: although not referred to in this letter, Coles also provided an unredacted version of the CAR Model alongside its tranche 2 response as part of its production on this date.	Tabs 3 and 4, KMC-1	CAR Model
5.	5/03/2026	ACCC Notice of Competition Concerns (NOCC) pursuant to s 51ABZK(1) of the CCA.	Tab 3, LWC-1; Tab 1, LCE-1; Tab 1, ADCE-1	Theory of harm CAR Model
6.	17/03/2026	Herbert Smith Freehills Kramer (HSFK) letter to ACCC concerning the NOCC.	Tab 4, LWC-1	Theory of harm
7.	18/03/2026	ACCC email to HSFK identifying that the ACCC intended to provide further information and documents.	Tab 5, LWC-1	Theory of harm
8.	23/03/2026	Coles letter to ACCC identifying the employee who initially prepared the CAR Model.	Tab 5, KMC-1	CAR Model
9.	24/03/2026	ACCC letter to HSFK enclosing the ACCC's analysis on the profitability of the proposed store and the methodology adopted by the ACCC in undertaking its analysis.	Tabs 6 to 8, LWC-1; Tabs 2 to 3, ADCE-1	CAR Model
10.	28/03/2026	ACCC letter to HSFK responding to HSFK's letter of 17/03/2026 (row 6 above).	Tabs 9 to 11, LWC-1	Theory of harm
11.	31/03/2026	ACCC email to HSFK attaching the ACCC's profitability analysis for O'Connor Fresh IGA and an accompanying methodology note.	Tabs 12 to 14, LWC-1	Theory of harm
12.	2/04/2026	ACCC file note of interview with Coles' employee regarding the CAR Model.	Tab 6, KMC-1	CAR Model

No.	Date	Description	Evidence ref.	Topic
13.	13/04/2026	Transcript of ACCC examination of Ms Kate Broad (Coles' National Location Planning Manager).	Tab 16, LWC-1	Theory of harm CAR Model
14.	14/04/2026	HSFK response to the NOCC and expert report from Warwick Davis of Frontier Economics, prepared for HSFK.	Tab 15, LWC-1; Tab 4, ADCE-1; Tab 7, KMC-1	Theory of harm
15.	4/05/2026	Expert report of Tony Samuel of Sapere, prepared for HSFK.	Tab 5, ADCE-1	CAR Model
16.	14/05/2026	Expert report of Professor Patrick Rey, prepared for the ACCC (First Rey Report).	Tabs 20 to 22, LWC-1	Theory of harm
17.	18/05/2026	ACCC letter to HSFK, relevantly enclosing the First Rey Report.	Tabs 17 to 22, LWC-1	Theory of harm
18.	21/05/2026	ACCC letter to HSFK, relevantly describing and inviting submissions on its "Top 100 SKU analysis" (SKU Analysis).	Tab 23, LWC-1; Tab 2 to 9, LCE-1	SKU Analysis
19.	26/05/2026	ACCC letter to HSFK enclosing a spreadsheet whereby the ACCC had calculated market shares in Kalgoorlie and inviting submissions from Coles.	Tabs 8 and 9, KMC-1	
20.	1/06/2026	ACCC email to HSFK attaching the ACCC's SKU Analysis and inviting submissions from Coles.	Tabs 10 to 11, LCE-1	SKU Analysis
21.	3/06/2026	HSFK letter to ACCC seeking information from the ACCC as to the application of the First Rey Report and the ACCC's SKU analysis.	Tab 24, LWC-1; Tab 13, LCE-1	Theory of harm SKU Analysis
22.	3/06/2026	HSFK letter to ACCC requesting that certain internal Coles counsel and Coles employees be permitted to view a redacted version of the ACCC's SKU Analysis.	Tab 12, LCE-1	SKU Analysis
23.	5/06/2026	ACCC letter to HSFK advising that the ACCC would not disclose the SKU Analysis to Coles personnel as requested on 3/06/2026 (row 22 above) following an objection from a third party and enclosing redacted methodologies regarding that analysis.	Tab 14, LCE-1; Tab 15, LCE-1	SKU Analysis
24.	5/06/2026	ACCC letter to HSFK responding to HSFK letter of 3/06/2026 (row 21 above) regarding the First Rey Report and SKU Analysis and inviting submissions from Coles.	Tab 25, LWC-1; Tab 16, LCE-1	Theory of harm
25.	5/06/2026	ACCC email to HSFK providing further information not concerning the First Rey Report and inviting further submissions.	Tab 26, LWC-1	Theory of harm
26.	9/06/2026	Expert report of Dr Mike Walker of Frontier Economics (UK), prepared for HSFK.	Tab 27, LWC-1	Theory of harm
27.	11/06/2026	PowerPoint presentation shown during meeting between ACCC, Coles and HSFK.	Tab 28, LWC-1	Theory of harm
28.	11/06/2026	HSFK "Submission in response to additional ACCC information", provided with second expert report of Mr Warwick Davis, prepared for HSFK, and a statement from Coles' Head of Range, Space and Systems.	Tabs 17 to 19, LCE-1	Theory of harm SKU Analysis

No.	Date	Description	Evidence ref.	Topic
29.	17/06/2026	HSFK letter to ACCC concerning procedural fairness.	Tab 29, LWC-1	Theory of harm
30.	17/06/2026	ACCC request for information pursuant to s 51ABZZD(3)(b) of the Act to Professor Rey.	Tab 31, LWC-1	Theory of harm
31.	25/06/2026	Second expert report of Professor Rey, prepared for the ACCC (Second Rey Report).	Tab 30, LWC-1	Theory of harm
32.	30/06/2026	ACCC Phase 2 Determination and Statement of Reasons (SOR).	Tab 20, LCE-1	Theory of harm SKU Analysis CAR Model
33.	6/07/2026	HSFK email to ACCC, relevantly attaching letter requesting underlying worksheets for calculations in the SOR.	Tabs 8 and 9, ADCE-1	CAR Model
34.	7/07/2026	ACCC email to HSFK in response to the letter dated 6 July 2026 (row 3333 above).	Tab 10, ADCE-1	CAR Model
35.	13/07/2026	ACCC index to documents briefed to Dawna Wright of FTI, who provided an expert report to the ACCC.	Tab 6, ADCE-1	CAR Model
36.	13/07/2026	ACCC letter replying to HSFK letter of 6/07/2026 (row 33 above), relevantly identifying that the ACCC did not propose to provide copies of the worksheets requested.	Tab 11, ADCE-1	CAR Model
37.	13/07/2026	ACCC provided information provided by Woolworths to HSFK, including the Woolworths data source for the ACCC's SKU Analysis.	Affidavit of LC Evans, [24]	SKU Analysis
38.	30/07/2026	ACCC provided HSFK with confidential documents, which had been provided to the ACCC by O'Connor Fresh IGA.	Affidavit of LC Evans, [25]	SKU Analysis
39.	5/08/2026 to 11/08/2026	Correspondence between the Australian Government Solicitor and HSFK regarding the provision of worksheets underlying calculations in the SOR.	Tabs 12 to 19, ADCE-1	CAR Model
40.	5/08/2026 and 11/08/2026	ACCC provided further confidential third-party documents to HSFK.	Affidavit of LC Evans, [26] to [27].	SKU Analysis